

1 ENGROSSED SENATE
2 BILL NO. 366

By: Hines, Daniels, Jett,
Deevers, and Stewart of the
Senate

3
4 and

Hall and Caldwell (Chad) of
the House

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6
7 An Act relating to school district boards of
8 education; amending 70 O.S. 2021, Section 5-117,
9 which relates to powers and duties of school district
10 boards of education; directing a board of education
11 to provide certain notice if a lessee does not timely
12 elect to purchase certain property; defining term;
13 requiring certain boards of education to provide
14 certain notice regarding certain proposed
15 transactions; defining term; requiring notice to
16 include certain information if a board of education
17 decides to accept certain bid, offer, or proposal;
18 providing certain time period for certain
19 notification; providing for lottery selection if more
20 than one eligible charter school elects certain
21 purchase or lease; prohibiting the establishment of
22 certain covenants, policies, or other agreements;
23 providing certain construction; updating statutory
24 language; providing an effective date; and declaring
an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 70 O.S. 2021, Section 5-117, is
amended to read as follows:

Section 5-117. A. The board of education of each school
district shall have power to:

1 1. Elect its own officers; provided, that the chair of the
2 board authorized in Section 5-107B of this title shall be elected by
3 the electors of the school district;

4 2. Make rules, not inconsistent with the law or rules of the
5 State Board of Education, governing the board and the school system
6 of the district, including converting all or part of a traditional
7 public school to a conversion school;

8 3. Maintain and operate a complete public school system of such
9 character as the board of education shall deem best suited to the
10 needs of the school district;

11 4. Designate the schools to be attended by the children of the
12 district;

13 5. Provide and operate, when deemed advisable, cafeterias or
14 other eating accommodations, thrift banks or other facilities for
15 the teaching and practice of thrift and economy, bookstores, print
16 shops, and vocational and other shops;

17 6. Provide informational material concerning school bond
18 elections and millage elections, including, but not limited to, all
19 pertinent financial information relative to the bond issue, a
20 statement of revenue sources necessary to retire proposed bonds, a
21 statement of current bonded indebtedness of the school district, and
22 a statement of proposed use of funds to be generated by the proposed
23 bond issue. The informational material shall not contain the words
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1 "vote yes" or "vote no" or any similar words or statement any place
2 on such informational material;

3 7. Purchase, construct, or rent, and operate and maintain,
4 classrooms, libraries, auditoriums, gymnasiums, stadiums, recreation
5 places and playgrounds, teacherages, school bus garages,
6 laboratories, administration buildings, and other schoolhouses and
7 school buildings, and acquire sites and equipment for the operation
8 of public schools or conversion schools;

9 8. a. Insure the school district or its employees against
10 any loss, damage, or liability as defined by Sections
11 702 through 708 of Title 36 of the Oklahoma Statutes,
12 or other forms of insurance provided for in Title 36
13 of the Oklahoma Statutes.

14 b. Subject to the restrictions of liability in ~~the~~ The
15 Governmental Tort Claims Act:

16 (1) insure the school district against all or any
17 part of any liability it may incur for death,
18 injury, or disability of any person, or for
19 damage to property, either real or personal,

20 (2) insure any employee of the school district
21 against all or any part of the employee's
22 liability for injury or damage resulting from an
23 act or omission in the scope of employment, or
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1 (3) insure against the expense of defending a claim
2 against the school district or its employee,
3 whether or not liability exists on such claim.

4 c. As used in this subsection, "employee" means any
5 person who has acted in behalf of a school district,
6 whether that person is acting on a permanent or
7 temporary basis with or without being compensated or
8 on a full-time or part-time basis. Employee also
9 includes all elected or appointed officers, members of
10 governing bodies of a school district, and persons
11 appointed, and other persons designated by a school
12 district to act in its behalf.

13 d. The cost or premium of any such insurance is a proper
14 expenditure of the school district.

15 e. Any insurance authorized by law to be purchased,
16 obtained, or provided by a school district may be
17 provided by:

18 (1) self-insurance, which may be, but is not required
19 to be, funded by appropriations to establish or
20 maintain reserves for self-insurance purposes.
21 Any self-insurance reserve fund shall be
22 nonfiscal and shall not be considered in
23 computing any levy when the school district makes
24 its annual estimate for needed appropriations,

- 1 (2) insurance in any insurer authorized to transact
2 insurance in this state,
3 (3) insurance secured in accordance with any other
4 method provided by law, or
5 (4) any combination of insurance authorized by this
6 section.

7 f. Two or more school districts or public agencies, by
8 interlocal agreement made pursuant to the Interlocal
9 Cooperation Act, may provide insurance for any purpose
10 by any one or more of the methods specified in this
11 section. The pooling of self-insured reserves,
12 claims, or losses among governments as authorized in
13 this section shall not be construed to be transacting
14 insurance nor otherwise subject to the provisions of
15 the laws of this state regulating insurance or
16 insurance companies, except as to the provisions of
17 Section 607.1 of Title 36 of the Oklahoma Statutes.
18 Two or more school districts may also be insured under
19 a master policy or contract of insurance. Premium
20 costs may be set individually for each school district
21 or apportioned among participating school districts as
22 provided by the master policy or contract;

23 9. Acquire property by condemnation proceedings in the same
24 manner as land is condemned for railroad purposes. School district

1 funds may be used to erect buildings on leased land on which other
2 buildings have been erected prior to April 3, 1969, or on land which
3 is leased from a governmental entity;

4 10. Lease real or personal property to the state or any
5 political subdivision thereof or a not-for-profit entity operating
6 pursuant to Section 868 of Title 18 of the Oklahoma Statutes for
7 nominal cash consideration for so long as the use of the property by
8 the lessee substantially benefits, in whole or in part, the same
9 public served by the school district;

10 11. a. Dispose of personal or real property no longer needed
11 by the district by sale, exchange, lease, lease-
12 purchase, sale and partial lease back, or otherwise.
13 Real property shall be conveyed pursuant to a public
14 sale, public bid, or private sale; provided, however,
15 unless otherwise prohibited by law, the board of
16 education of a consolidated or annexed school district
17 or any other school district may convey real property
18 to a local political subdivision or to an educational
19 institution within The Oklahoma State System of Higher
20 Education or to a housing authority formed pursuant to
21 the provisions of Section 1057 of Title 63 of the
22 Oklahoma Statutes without consideration. Prior to the
23 sale of any real property, the board of education
24 shall have the real property appraised. The appraisal

1 shall be confidential until the real property is sold.
2 When the real property is sold, the board of education
3 shall make the appraisal available for public
4 inspection. Prior to the conveyance of any real
5 property by private sale, the board of education shall
6 have offered the real property for sale by public sale
7 or public bid. Any conveyance of real property by
8 private sale to a nonprofit organization, association,
9 or corporation to be used for public purposes, unless
10 for exchange, shall contain a reversionary clause
11 which returns the real property to the board of
12 education upon the cessation of the use without profit
13 or for public purposes by the purchaser or the assigns
14 of the purchaser,

15 b. If a board of education makes the decision to dispose
16 of real or personal property that is leased at the
17 time the decision is made, whether such disposal is by
18 public sale, public bid, or private sale, the lessee
19 shall have a right of first refusal to purchase the
20 property on the following terms and conditions:

21 (1) if a board of education receives a bid or offer
22 in a public sale, public bid, or private sale for
23 any real or personal property that it desires to
24 accept, then it shall provide notice to the

1 lessee of the property. The notice shall include
2 the identity of the prospective purchaser of the
3 property, the terms and conditions of the
4 proposed sale, and the purchase price to be paid
5 by the prospective purchaser, ~~and~~

6 (2) the lessee shall have thirty (30) days after
7 receipt of the notice to inform the board of
8 education that it elects to purchase the property
9 on the same terms and conditions set forth in the
10 notice, in which event the board of education
11 shall convey the property to the lessee on all
12 the same terms and conditions set forth in the
13 notice; provided, however, that if any portion of
14 the consideration included in the purchase price
15 set forth in the notice is not in cash, then the
16 lessee shall be entitled to pay the fair market
17 value in cash of such noncash consideration, and

18 (3) if the lessee does not timely elect to purchase
19 the property pursuant to division (2) of this
20 subparagraph, the board of education shall
21 provide the notice described in division (1) of
22 this subparagraph to eligible charter schools.
23 For the purposes of this section, "eligible
24 charter school" means a public charter school

1 authorized pursuant to the Oklahoma Charter
2 Schools Act and is located within the geographic
3 boundaries of the school district,

- 4 c. (1) If a board of education proposes to sell, lease,
5 or otherwise transfer a district facility to any
6 person or entity, the board of education shall
7 provide written notice of the proposed
8 transaction to each eligible charter school. For
9 the purposes of this section, "district facility"
10 means any school building or portion of a school
11 building with or without improvements that is
12 owned, leased, or otherwise controlled by the
13 school district and that is used for classroom
14 instruction or was used for classroom instruction
15 within the previous twenty (20) years,
- 16 (2) if the board of education decides to accept a
17 bid, offer, or proposal to sell, lease, or
18 otherwise transfer a district facility, the
19 notice required by division (1) of this
20 subparagraph shall include the identity of the
21 prospective purchaser or lessee, the material
22 terms and conditions of the proposed transaction,
23 and the proposed purchase or lease rate,
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- 1 (3) an eligible charter school shall have thirty (30)
2 days after receipt of the notice to notify the
3 board of education that it elects to purchase or
4 lease the district facility on the same terms and
5 conditions. Upon timely election, the board of
6 education shall convey or lease the property to
7 the eligible charter school on those terms and
8 conditions,
- 9 (4) if more than one eligible charter school timely
10 elects to purchase or lease a district facility,
11 the board of education shall conduct a random
12 lottery selection among the eligible charter
13 schools,
- 14 (5) a board of education shall not establish
15 covenants, policies, or other agreements that
16 prevent or restrict the sale or lease of district
17 facilities to eligible charter schools, and
- 18 (6) the provisions of this subparagraph shall not be
19 construed to limit the right of first refusal
20 granted to a lessee pursuant to subparagraph b of
21 this paragraph;

22 12. Purchase necessary property, equipment, furniture and
23 supplies necessary to maintain and operate an adequate school
24 system;

1 13. Incur all expenses, within the limitations provided for by
2 law, necessary to perform all powers granted by the provisions of
3 this section;

4 14. Contract with and fix the duties and compensation of
5 physicians, dentists, optometrists, nurses, attorneys,
6 superintendents, principals, teachers, bus drivers, janitors, and
7 other necessary employees of the district;

8 15. Establish a written policy for reimbursement of necessary
9 travel expenses of employees and members of the board. The policy
10 may include in-district travel from the site of employment
11 assignment which is necessary in the performance of employment
12 duties. The written policy shall specify procedures, contain
13 documentation requirements, and may include payment of meal expenses
14 during authorized travel on a per diem allowance basis rather than
15 itemized documentation;

16 16. Pay necessary travel expenses and other related expenses of
17 prospective employees for sponsored visits to the school district
18 pursuant to a written policy specifying procedures containing
19 documentation requirements equal to or greater than the requirements
20 specified by law for state employees in the State Travel
21 Reimbursement Act;

22 17. Provide for employees' leaves of absence without pay;
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1 18. Exercise sole control over all the schools and property of
2 the district, subject to other provisions of the Oklahoma School
3 Code;

4 19. Allow district-owned school buses to be used for
5 transportation of students from other districts or educational
6 institutions while within the district on educational tours. This
7 shall not restrict the authority of the board to authorize any other
8 use of such buses which may now be permitted by law or rule of the
9 State Board of Education;

10 20. Enter into contractual agreements with the board of
11 trustees of a multicounty library system, as defined in Section 4-
12 103 of Title 65 of the Oklahoma Statutes, a city-county library
13 commission, as ~~defined~~ provided in Section 152 of Title 65 of the
14 Oklahoma Statutes, or a rural single county library system, as
15 defined in Section 1-104 of Title 65 of the Oklahoma Statutes, on
16 such terms as may be mutually agreed, except no district board of
17 education may enter into any agreement under which the library
18 services for the school would be provided at any site other than the
19 school site or which would result in library services that do not
20 meet accreditation standards as required by law or rule;

21 21. Perform all functions necessary to the administration of a
22 school district in Oklahoma as specified in the Oklahoma School
23 Code, and in addition thereto, those powers necessarily implied but
24 not delegated by law to any other agency or official;

22. Prepare and distribute at the expense of the school district any and all material which has the purpose of informing the public about district activities;

23. Solicit and accept any gift, grant, or donation of money or property for the use of the school district. Any gift, grant, or donation of money may be deposited in the general fund or building fund of the school district; and

24. Pay necessary meal and lodging expenses of school district students and sponsors involved in authorized school-sponsored cocurricular activities. The board of education shall establish a written policy for reimbursement of necessary meal and lodging expenses of school district students and sponsors. The written policy shall specify procedures, contain documentation requirements, and designate the funds from which reimbursement may be made. Reimbursement may be made from the ~~General Fund~~ district's general fund.

B. The board of education of any school district may rent real and personal property, if such items are necessary for the operation of the school, and pay the rental charges for the usage during any fiscal year, or portion thereof, out of appropriations made and approved for current expense purposes during the fiscal year. Any rental contract extending beyond June 30 of the fiscal year shall be void unless it contains provisions for mutual ratification of renewal pursuant to the conditions provided for in this subsection.

1 It is the intent of this subsection to authorize boards of education
2 to enter into lease contracts but not to incur any obligation
3 against the school district in excess of the income and revenue
4 provided for such purposes for the fiscal year in which the lease
5 contract is operative. Any lease or lease-purchase agreement
6 entered into by any board of education shall state the purchase
7 price of real or personal property so leased. The lease or lease-
8 purchase shall not be extended so as to cause payment of more than
9 the original purchase price of the real or personal property, plus
10 interest not to exceed the legal rate. When the purchase price plus
11 interest has been paid, the property shall belong to the lessee and
12 the lessor shall deliver a deed or bill of sale to the property to
13 the lessee. When any real or personal property has been leased or
14 rented during any fiscal year pursuant to the provisions of any
15 contract which permits continuance of the rental for the remainder
16 of the fiscal year, the renting or leasing of the property shall be
17 continued for the remainder of the fiscal year unless the board of
18 education renting or leasing the same certifies by proper resolution
19 entered in the minutes of the board of education that the
20 continuance of the rental is unnecessary and contrary to the public
21 interest. Any lease-purchase agreement entered into shall include
22 the right of a school district to acquire buildings, equipment, or
23 other facilities or discrete components thereof or improve school
24 sites through a lease-purchase agreement. A school district may use

1 proceeds derived from the sale of bonds as authorized by Section 26
2 of Article X of the Oklahoma Constitution to make lease-purchase
3 payments, including interest, under a lease-purchase agreement. For
4 purposes of this subsection, the term ~~"acquired"~~ "acquiring" as used
5 in Section 26 of Article X of the Oklahoma Constitution shall mean
6 the possession, control, or power to dispose of personal or real
7 property.

8 C. The boards of education of two or more school districts may
9 enter into cooperative agreements and maintain joint programs
10 including, but not limited to, courses of instruction for
11 handicapped children, courses of instruction in music and other
12 subjects, practical instruction for trades and vocations, practical
13 instruction in driver training courses, and health programs
14 including visual care by persons legally licensed for such purpose,
15 without favoritism as to either profession. The revenues necessary
16 to operate a joint program approved in cooperative agreements,
17 whether from federal, state, or local sources, including the
18 individual contributions of participating school districts, shall be
19 deposited into a fund separate from all other appropriated funds.
20 The beginning fund balance each year, combined with all actual
21 revenues, including collected and estimated revenues, ~~must~~ shall be
22 appropriated before being expended. Purchase orders shall be issued
23 against available appropriations and, once goods or services have
24 been received, either payable or nonpayable warrants shall be issued

1 in payment of all purchase orders. The fund shall be reported as a
2 separate appropriated fund in all the financial reports of the
3 school district which is chosen by the other school districts to
4 keep the accounting records of the joint program.

5 D. The boards of education of two or more school districts may
6 enter into a mutual contract or separate contracts with a
7 superintendent, administrator, or teacher or with a person to
8 provide support services, to serve as superintendent, administrator,
9 or teacher, as appropriately qualified, or to provide support
10 services, for each contracting district upon such terms and
11 conditions as the parties may agree. Nothing in this section shall
12 be construed to authorize or require annexation or consolidation of
13 any school districts or the closing of any school site except
14 pursuant to law as set forth in Section 7-101 et seq. of this title.

15 E. Any school district may operate or maintain a school or
16 schools on any military reservation which is within the boundaries
17 of the school district or which is adjacent to the school district,
18 and provide the instruction in the school or schools to children of
19 personnel on the military reservation and, in doing so, shall
20 conform to all federal laws and requirements.

21 F. The board of education of each school district shall adopt
22 and maintain on file in the office of the superintendent of schools
23 appropriate personnel policy and sick leave guide. The guide shall
24 be made available to the public.

1 G. The board of education of any school district with an
2 average daily membership of thirty thousand (30,000) or more and all
3 or part of which school district is located in a county having more
4 than five hundred thousand (500,000) population according to the
5 latest Federal Decennial Census may contract with a public or
6 private nonsectarian entity for that entity to provide educational
7 and administrative services for the school district. The
8 educational services provided by a contracting entity may include,
9 but are not limited to, the delivery of instructional service in
10 core and noncore academic subjects to the students enrolled in the
11 school district at one or more school sites or parts of sites within
12 the district pursuant to the terms of an educational services
13 contract. All educational service providers and their employees and
14 representatives and all educational and administrative services
15 provided under an educational services contract shall be exempt from
16 all statutes and rules relating to schools, boards of education, and
17 school districts to the same extent that a charter school is exempt
18 under the Oklahoma Charter Schools Act. For all purposes including,
19 but not limited to, attendance, funding from all sources and
20 accountability, all students who are provided services by a
21 contracting entity pursuant to an educational services contract
22 shall at all times be and remain students of the school district.

23 SECTION 2. This act shall become effective July 1, 2026.
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SECTION 3. It being immediately necessary for the preservation of the public peace, health, or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

Passed the Senate the 17th day of March, 2026.

Presiding Officer of the Senate

Passed the House of Representatives the ____ day of _____,
2026.

Presiding Officer of the House
of Representatives